

Investor Presentation

Bharti airtel limited

May 2012



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The Company...Bharti airtel – An Integrated Operator

B2C

Airtel Business



Mobile Services

- Cellular mobile services across 20 countries
- Customer and revenue market leader in India
- ~241 million wireless subscribers globally, as of Q4FY12

Telemedia Services

- Offers fixed telephony and broadband internet (DSL + IPTV)
- Customer base of 3.3 million; large broadband & internet customers
- Services provided across 87 cities

Digital TV Services

- Pan India DTH operations
- 7.23 mn customers
- Coverage across 609 districts

Enterprise Services

- Services to large enterprises and carriers
- Serves as single point of contact for all telecom needs
- Global infrastructure of over 225,000 Rkms covering 50 countries across 5 continents

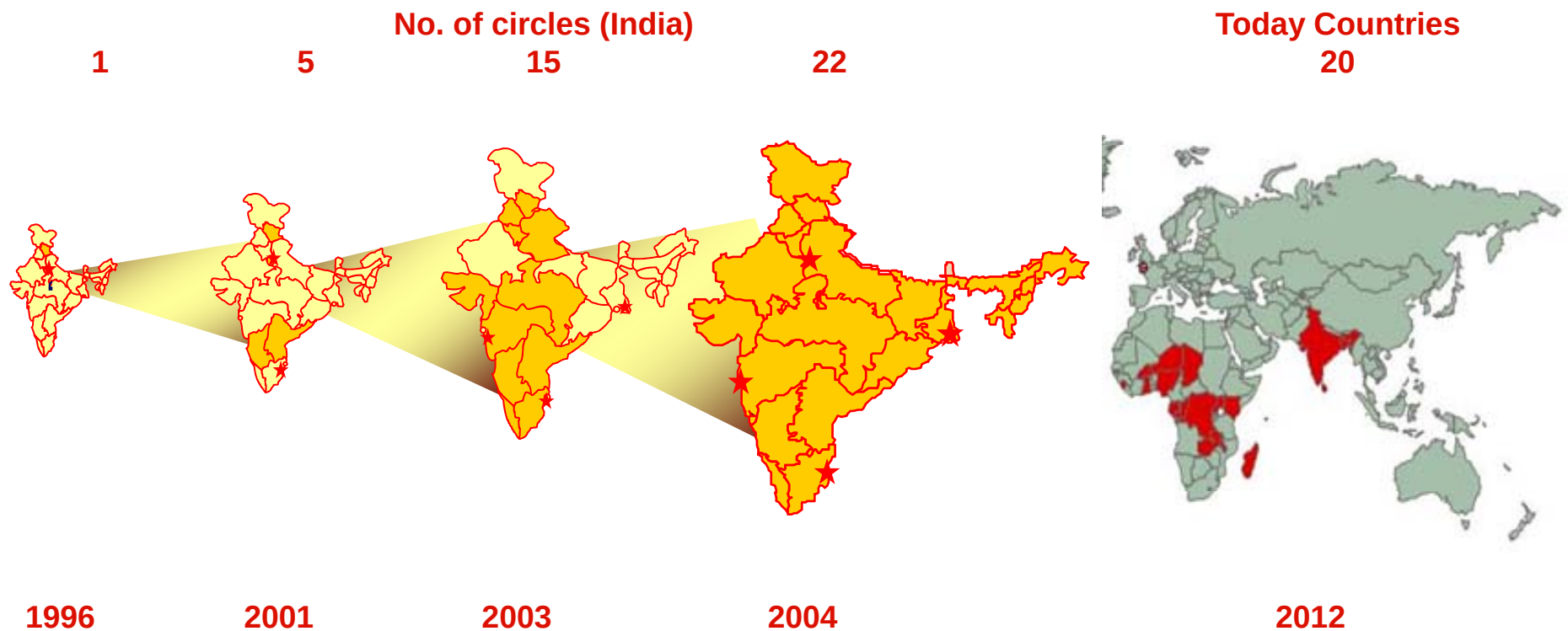
Passive Infrastructure Services

- Bharti Infratel owns 33,326 towers across 11 circles
- Owns 42% stake in Indus Towers, amongst the largest independent tower companies in the world, with 109,114 towers across 15 circles
- Average tenancy ratio of ~1.89

Fully integrated telecom player offering end-to-end solutions



The Company...Bharti airtel



Fully integrated telecom player offering end to end solutions and entering new geographies

Growth trajectory reflected in the numbers

1996		2012
Single Circle Operator	<i>Company Profile</i>	Largest integrated private telecom operator
< 25k	<i>Customers</i>	~ 252 mn
~ USD 17 mn	<i>Revenue</i>	~ USD 15 bn
~ USD 2.5 mn	<i>EBITDA</i>	~ USD 5 bn
~ USD 1.4 mn	<i>Cash Profit</i>	~ USD 4 bn
~ USD 16 mn	<i>Market Capitalization</i>	~ USD 25 bn

Continuing on our journey of Value Creation

Note: 1) 2012 financials are as per FY 2012 results. 2) Exchange rate: Financials as of 31st Mar 12 : Rs 51.16



Financials & Positioning

Key financial metrics

	FY 12 (in Mn)
Customers	251.6
Revenue	\$ 14,937
EBITDA	\$ 4,957
Cash Profit	\$ 4,282
Net Income	\$ 890
EBITDA Margin (%)	33.2
ROCE (%)	7.2

Positioning in the world & in India

- 3rd LARGEST in -country wireless operator in the world ⁽¹⁾
- LARGEST private INTEGRATED telecom company in India
- 5th LARGEST Mobile telecom operator in the world
- Amongst the largest providers of Passive infrastructure (by towers) ⁽²⁾

Note: FY11 numbers are as per IFRS as per March12 quarterly report. Exchange rate for Re to \$ conversion: 51.16.
(1) 3rd largest wireless operator in the world refers to in-country (single country) operator based on the number of subscribers. 5th largest mobile operator on basis of number of subscribers. (2) Through its subsidiary Bharti Infratel & Indus Towers in which Bharti Infratel owns 42% stake.



Latest Results – 4Q'12

Key operating and financial metrics

	Q4 FY 12*	Y-on-Y
Customers	251.6 mn	
Revenue	\$ 3,723 mn	15%
EBITDA	\$ 1,239 mn	14%
Cash Profit	\$ 1,065 mn	10%
Net Income	\$ 200 mn	-28%
EBITDA Margin	33.3%	
ROCE	7.2%	

Continued Strong Performance

- Wireless CMS 19.7%
- Wireless RMS 29.7%
- Total minutes on network carried in Qtr, net of eliminations 265 bn
- Balance sheet strength:
 - Assets \$ 30.7 bn
 - Net debt \$ 12.7 bn
 - Net debt to EBITDA 2.6 Times (annualized)
- Continues to be FCF positive on at South Asia Level.

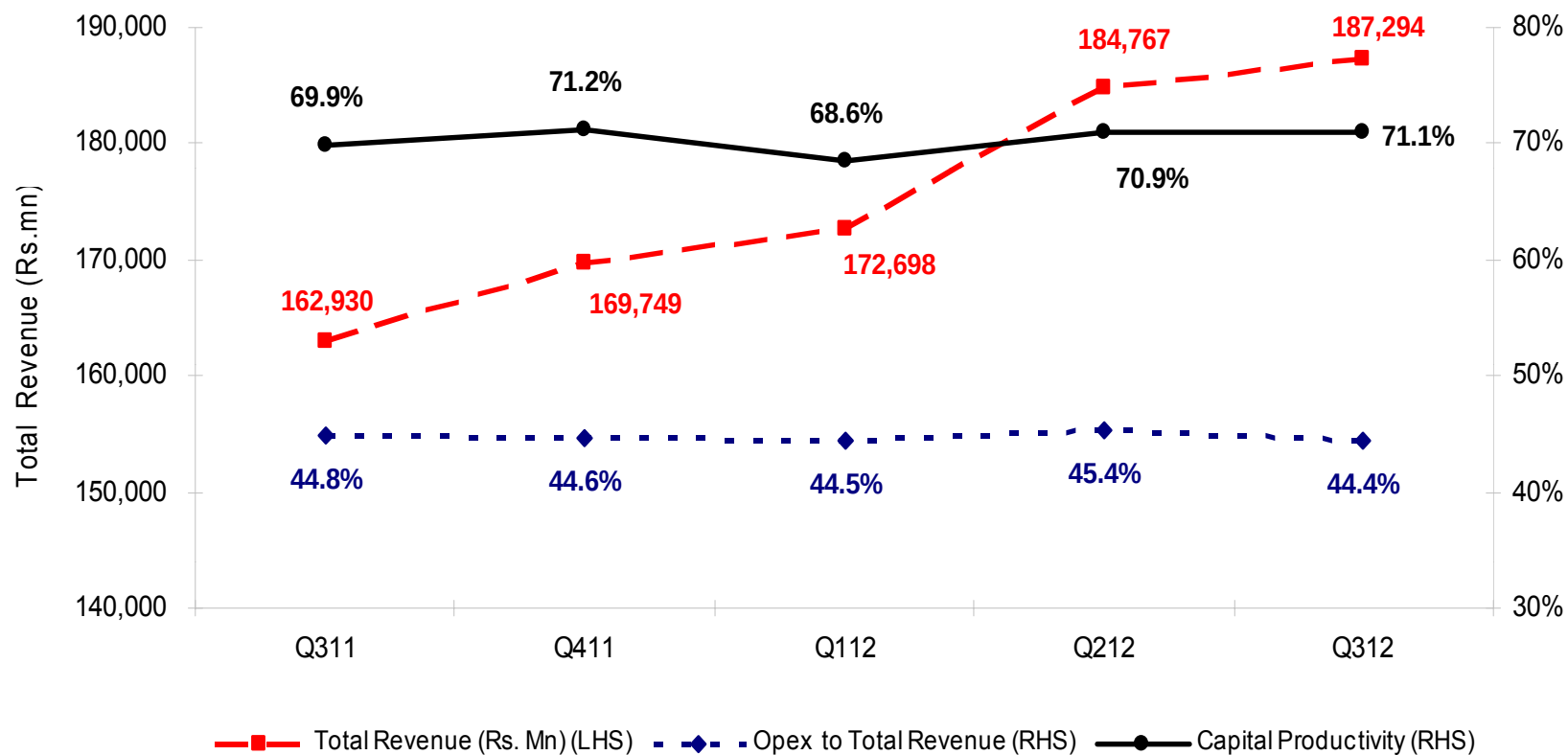
•Includes full quarter numbers for Africa

• (a) Closing Exchange rate as of 31st March 2012: 51.16 . (b) Average Exchange rate as on 31st March 2012 : 50.30

•**RMS as per Dec quarter released by TRAI



Performance dashboard - 3 line graph



Productivity Indicators = growing revenues + cost efficiencies + capital productivity

The above chart is for Airtel Consolidated including Africa





Wireless Services

Indian Market

Overall Telecom Market

▪ Population 1.2 billion

→ *Relatively large youth population*

▪ Telecom penetration c.78.5%
(~951.3 mn telecom subs)

Sub number should go upto 1 Billion by 2015

▪ Broadband penetration 1.1% (13.8 mn)

→ *Govt. target to reach 20 mn. Broadband subs by 2012*

Wireless Market

▪ Sub Base c.919.2 mn

▪ Wireless Penetration c.75.9%

▪ Operational metrics per month

▪ Usage per user 330 min

▪ ARPU ~ US\$ 3.06

▪ Rate per minute ~ US\$ 0.01

▪ VAS ~ 13.7%

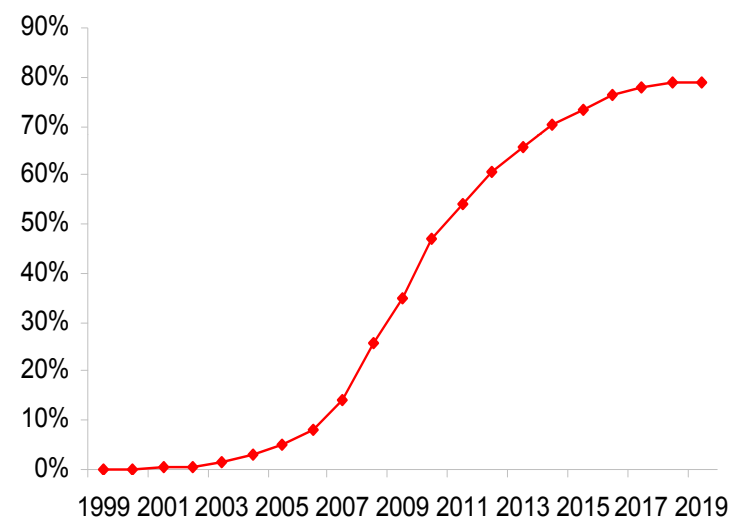
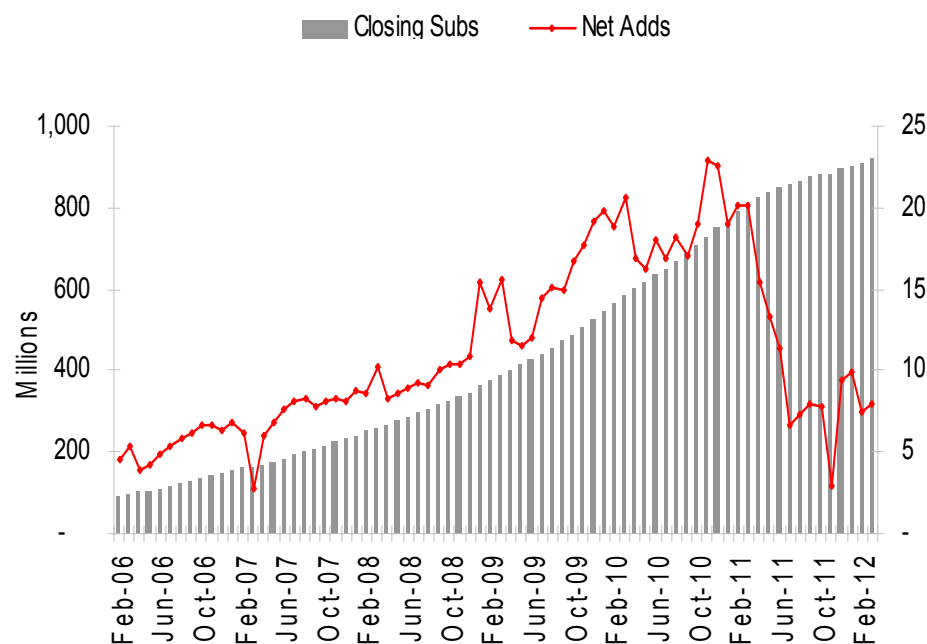
Lot of opportunity ahead....

Note: (1) Subscriber numbers and wireless penetration numbers as on March 31, 2012 are as per TRAI
(2) Other indicators on the slide are based on Global Wireless Matrix 1Q12 dated 19th April12 by Merrill Lynch, and reflective of Industry numbers.

Rapidly Growing Indian Wireless Market

**Net Adds in Mar 8.0 Mn... less than over last 3 months
average run rate of 8.9 Mn**

S-curve triggered



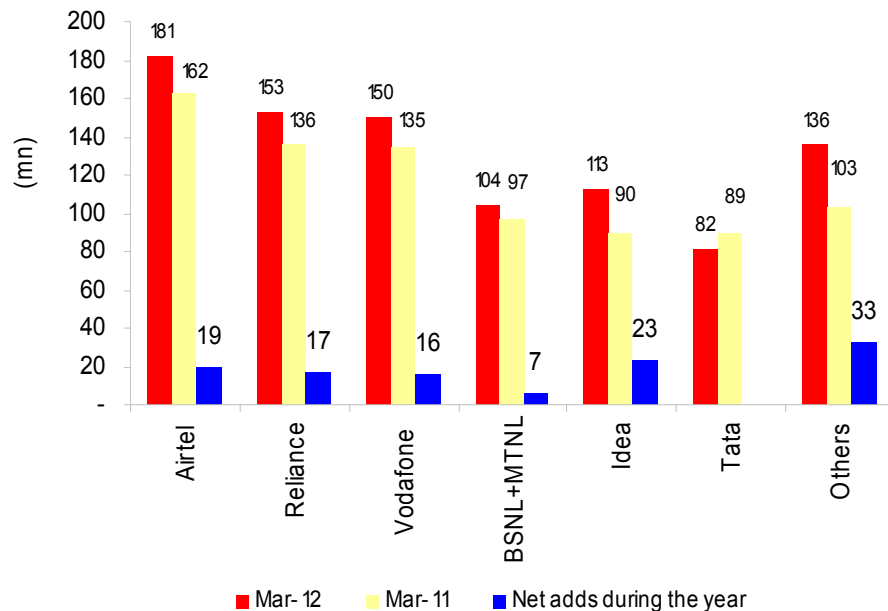
India - Fastest Growing Market in the World

Note: (1) Actual Data as per Industry Association Releases and Industry Estimates in India.

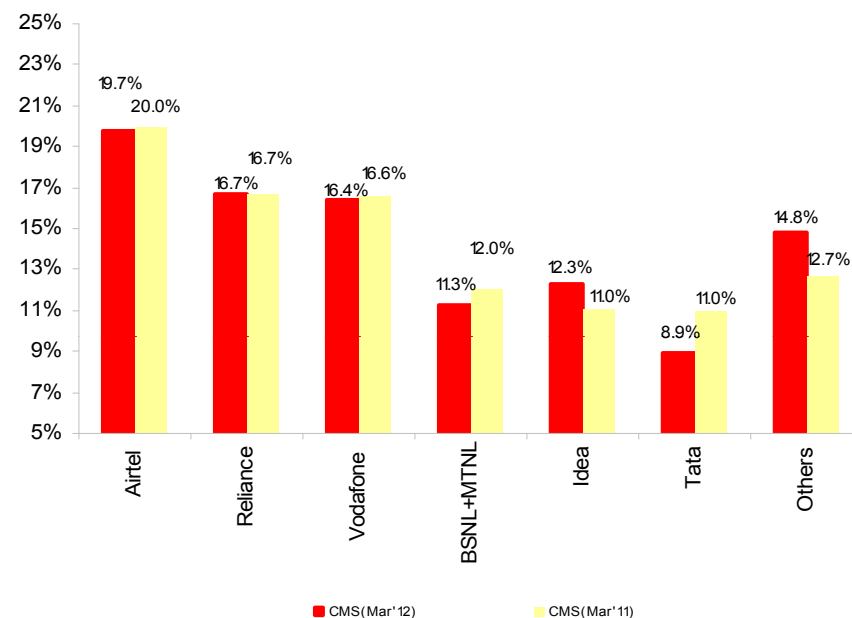


Wireless Market Structure in India

Subscriber Trends



Customer Market Share – CMS (%)



- Airtel continuously consolidating its market leadership position despite intense competition
- Airtel current monthly net adds at 2.5 million vs. 3.2 million a year ago
- Airtel ranks 1& 2 in 16 circles in terms of number of subscribers
- Over 65% of net adds coming from B&C circles (rural India)

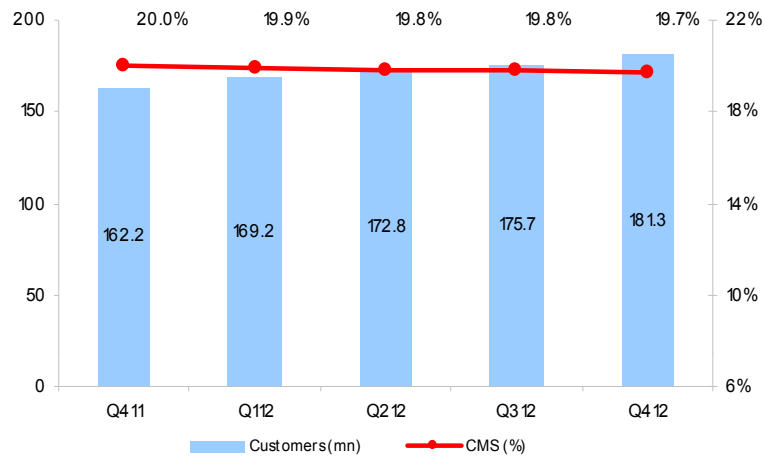
Airtel Continues to lead on Revenue Market Share

Note: Based on subscriber data for India as on March 31 2012 as per TRAI press release.

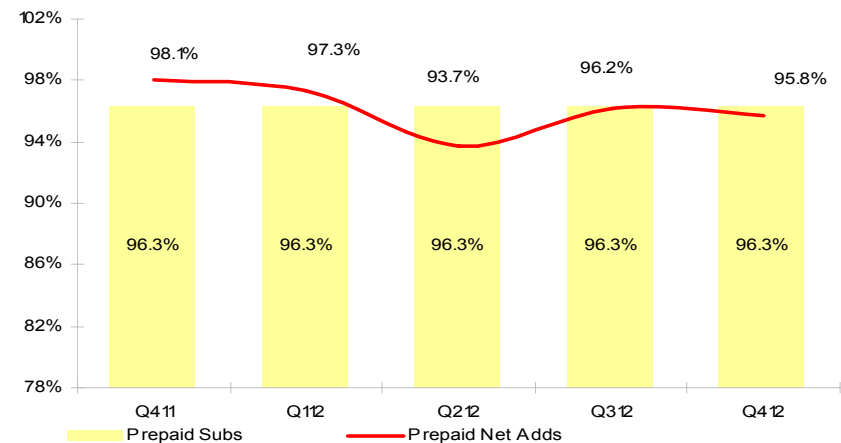


Airtel...Performance Indicators (Operational)

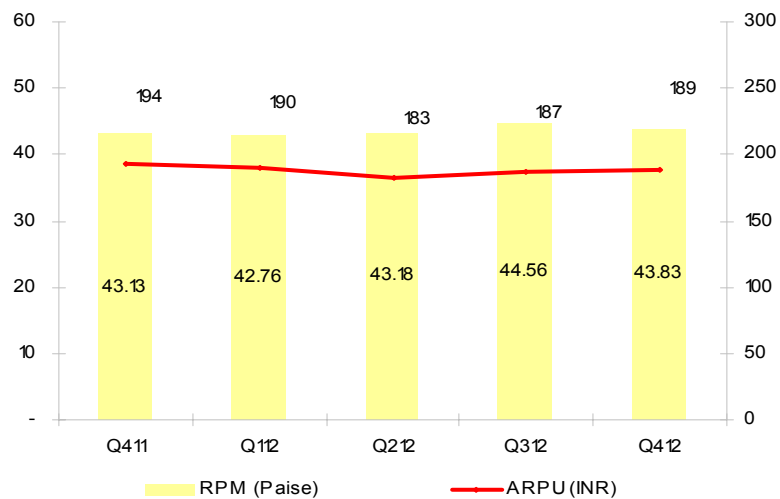
Customers & Market Share



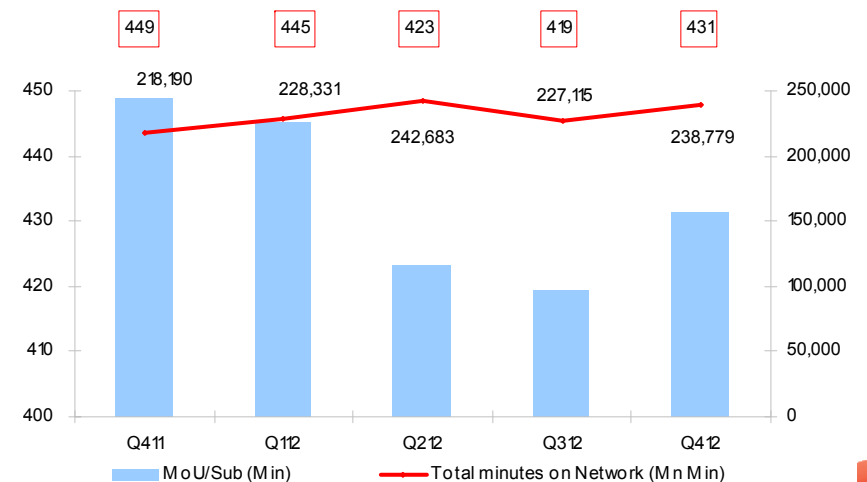
Prepaid/Postpaid



ARPU & RPM

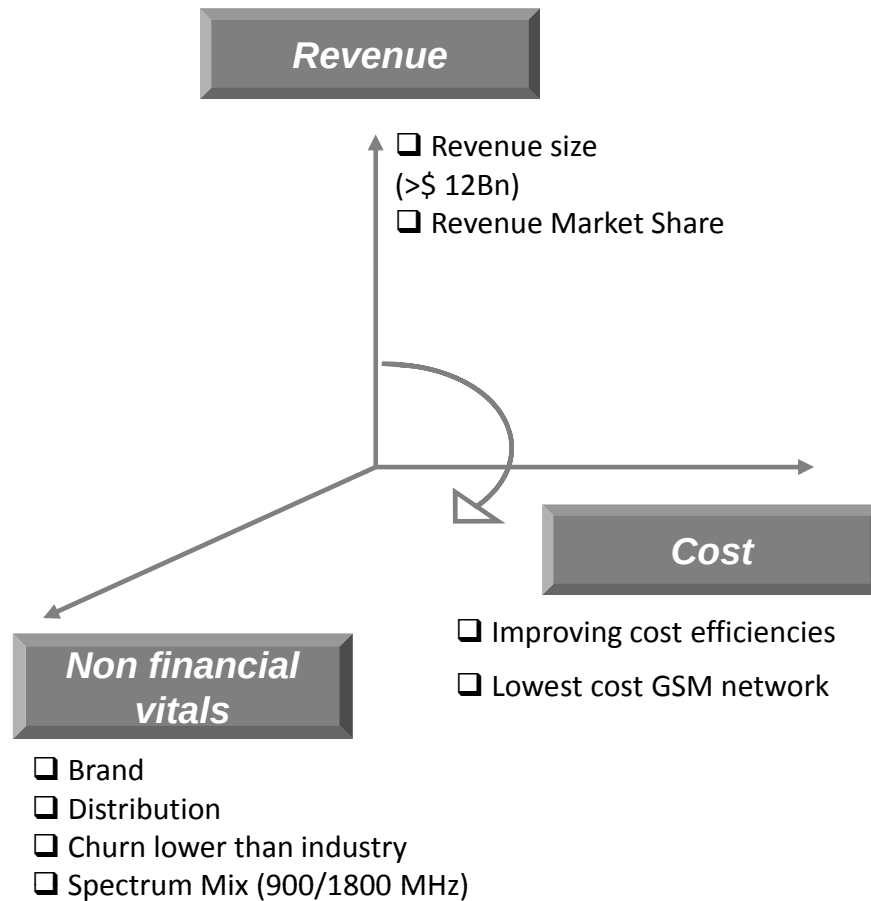


MoU/Sub/Month & MON

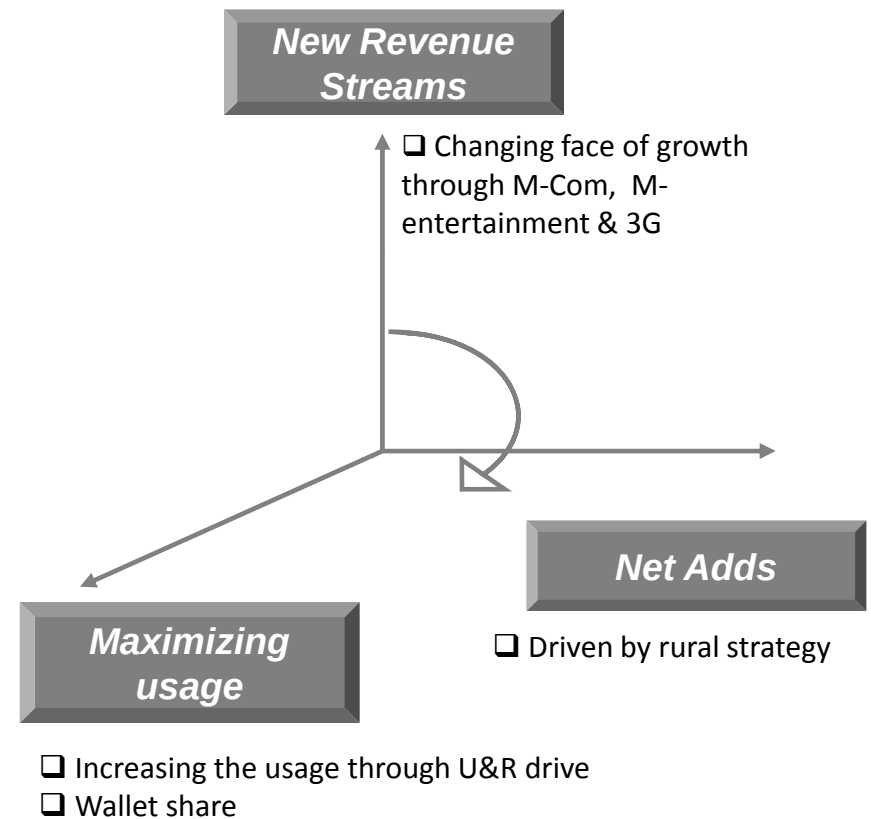


Current positioning and way forward...

Leadership Positioning



Growth strategy and plans





Telemedia Services

A Snapshot

❑ *Largest private operator having presence in the voice , broadband , IPTV and data.*

❑ *Focus on SMB segment & Broadband at Homes*

❑ *Key Performance Indicators*

1. Voice (wire-line) and Data (DSL) Presence in **87 top cities** of India.
2. Target Segment : Retail and Small and Medium Enterprises.
3. Customer base: **3.3 million** (end March 2012)
4. Broadband (DSL with speeds>256 kbps) penetration at **42.4%** of customer base.
5. Average ARPU for Quarter ended Dec'11 **\$ 18.6 per month.**
6. Segment contributing to **7%** of overall revenues of the company.
7. EBITDA margin of over **41.0%.**

Broadband revolution to follow wireless revolution in India

SMB opportunity across ICT stream



Digital Services

A Snapshot

- 🌀 Launched “Airtel Digital TV” service in October 2008 as fifth operator providing Direct-to-Home (DTH) services in India
- 🌀 Current subscriber base of ~7.2 million customers
 - Adding 1 out of every 4 new customers joining the DTH platform
 - Currently offer a total of 310 channels including 14 HD channels and 7 interactive services
- 🌀 Present across 609 districts , partnering with local service partners to provide customer service and operate call centers
- 🌀 Also offer High Definition (HD) Set Top Boxes and Digital TV Recorders with 3D capabilities delivering superior customer experience
- 🌀 Key Performance Indicators (Q4'12)
 - Revenue: Rs.3,565 Million (3% Segment Contribution Share)
 - EBITDA: Rs. 209 Million (5.9% EBITDA Margin)
 - Average ARPU of \$3.3 per month for quarter ended Mar'12





Enterprise Services

A Snapshot

- ❑ *Enterprise Services provides a broad portfolio of services to large Enterprise and Carrier customers*
 - ❑ *Corporates: Single point of contact for all telecommunication needs for Top 2500 corporate customers, providing full suite of voice, data, and managed communications solutions*
 - ❑ *Carriers: Wholesale voice and data services to over 130 domestic and 450 international telecommunications carriers, as well as ILD and NLD carriage for Airtel's own customers*
- ❑ *Extensive national and international infrastructure*
 - ❑ *Pan-India network with 157,886 Route kms of optical fiber, over 4,150 MPLS and SDH POPs*
 - ❑ *Access network (terrestrial) in 87 cities, Wimax network in 143 cities, and over 1,500 local POIs*
 - ❑ *International network with 225,000 Route Kms, connecting over 50 countries and 5 Continents.*
- ❑ *Key Performance Indicators (Q4'12)*
 - ❑ *NLD Minutes Carried: 21.6 Billion ; ILD Minutes Carried: 3.5 Billion*
 - ❑ *Revenue: Rs.11,209 Million (8% Segment Contribution Share)*
 - ❑ *EBITDA: Rs. 1,631 Million (14.5% EBITA Margin)*

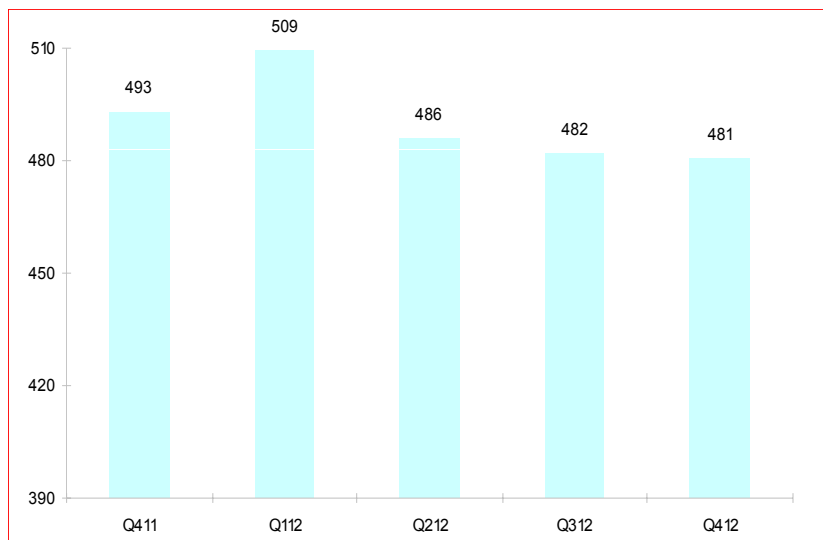


Emerging Growth Engines

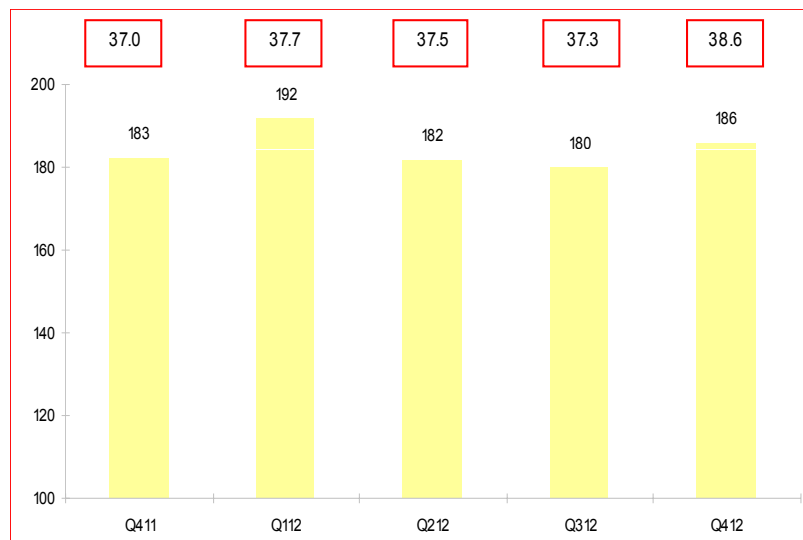
*Passive Infra
Africa*

Financial Performance – Passive Infra

Revenue



EBITDA



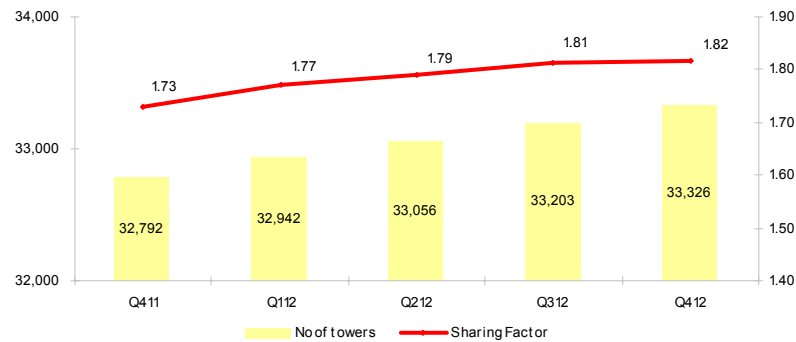
Focus on tenancy enhancement...driving Revenue & Profitability

The above nos for Revenue & EBITDA are in IFRS as per Quarterly Report & includes proportionate share (42%) in Indus .

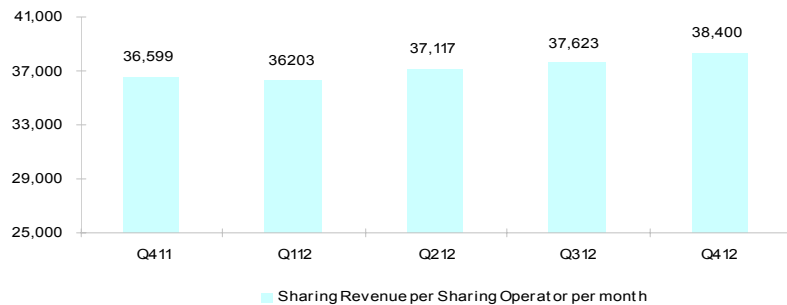
Operational Performance – Passive Infra

Infratel

Towers (nos) & Sharing Factor

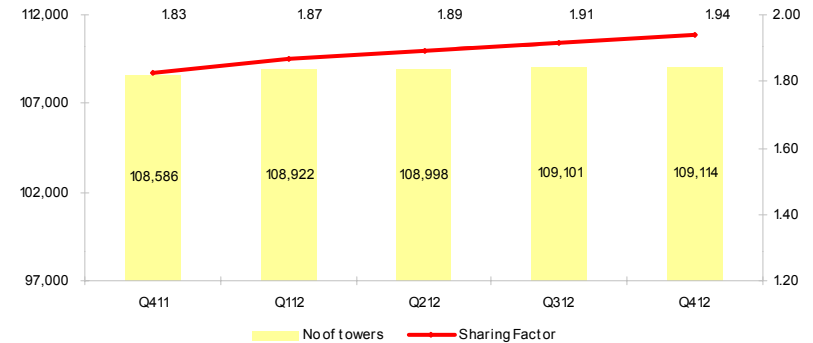


Sharing Revenue per Sharing Operator per Month (Rs)

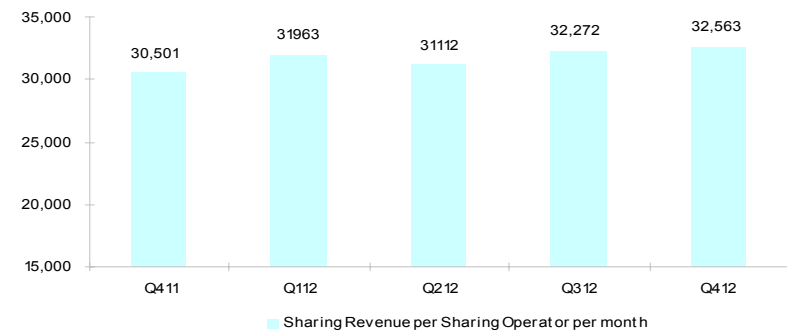


Indus

Towers (nos) & Sharing Factor

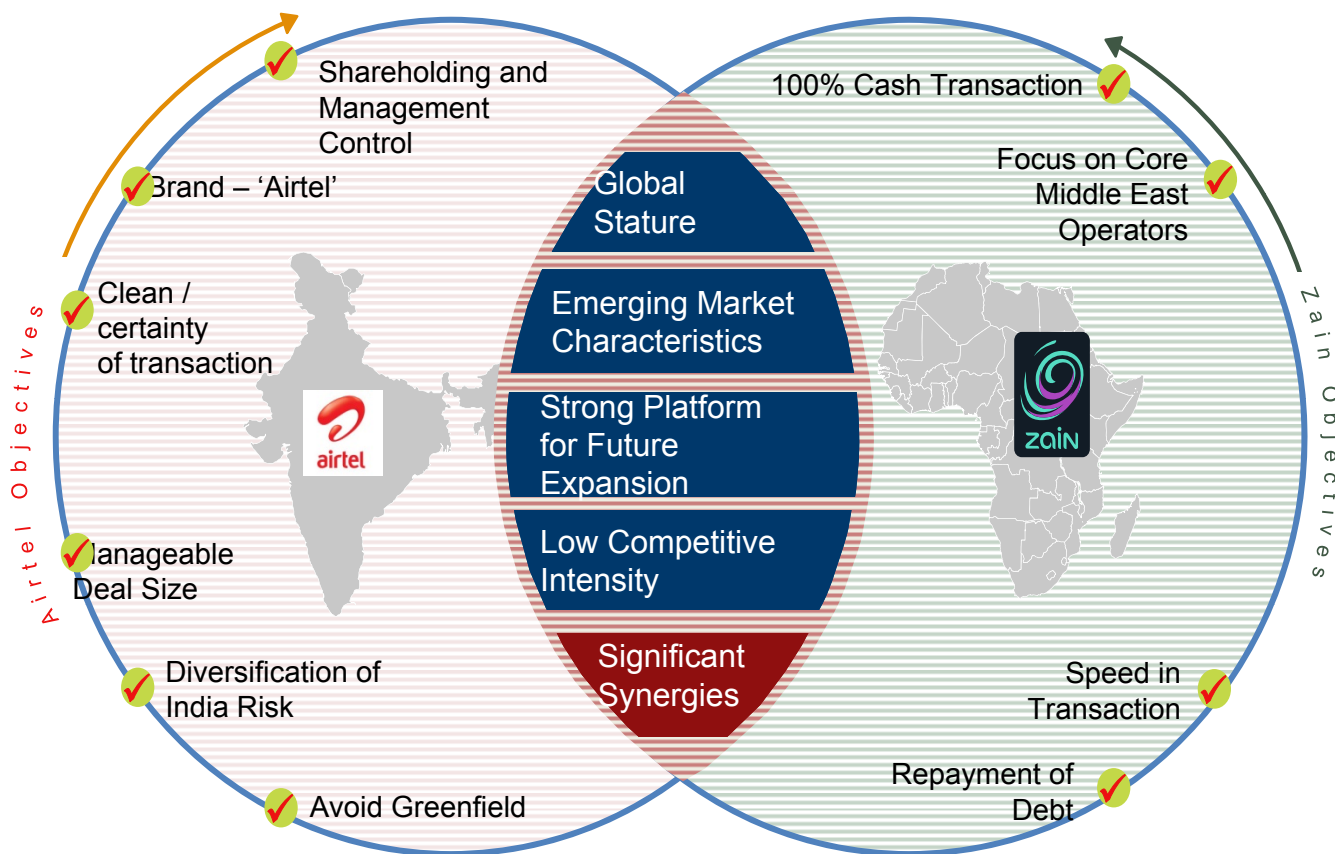


Sharing Revenue per Sharing Operator per Month (Rs)



Aims to enhance the tenancy ratio & be the preferred choice of vendor for all existing and new operators

Transaction Rationale



The transaction meets the objectives of Airtel with long term strategic benefits and creates tremendous shareholder value

Differences between the two markets

	India	Africa ⁽¹⁾
Mobile Penetration	76%	46%
Average Number of Competitors	10-12	3-5
Business Model	High usage, low pricing model	Low usage, high pricing model
Minutes of Usage	~431	~122
ARPU (US\$)	~\$3.8	~\$6.8
ARPM (US cents ¢)	0.9¢	5.6¢

And therefore huge opportunity space

Source: Global Insight, annual / quarterly reports.

1. Data pertaining to the 17 African countries where Zain Africa has operations.

Another Growth Engine - Africa



- **Customer Base :** 53.1 Mn
- **Performance Indicators (CY 2012):**
 - Revenue:** \$ 4,137 Mn
 - EBITDA:** \$ 1,097 Mn
- **Prepaid Base:** 99.3%
→one of the highest in the world
- **Usage per sub per month:** 122 Minutes
→one of the lowest
- **ARPU:** ~ US\$ 6.8
- **Rate per minute:** ~ US¢ 5.6
→ one of the highest
- **VAS:** ~ 8.6%
→One of the lowest

Note: Above numbers based on Quarterly report ended 31 Mar ,2012.



Recent Honors

Bharti airtel – Leadership in business

Recent Honours

• 'Telecom Center of Excellence (TCOE) Award' for Service Provider with customer focus for best delivery of Network Services - for the year 2011.

• Won in 4 Categories : 'Best National Mobile Operator', 'Best VAS Provider', 'Best Enterprise Services Provider', 'Best Ad Campaign by an Operator' at the Telecom Operator Awards 2012.

• Airtel money won the 'Best Innovation' awards at the Telecom Operator Awards 2012

• Conferred the prestigious 'NDTV Profit Business Leadership Awards 2011' in the Telecom Sector category

• Placed among the top 200 brands globally in the annual survey undertaken by Brand Finance, an international agency

• Ranked first in 'India's Buzziest Brands', a survey conducted by agency faqs, a media communication portal

• The Most Impactful HR Practise Award for the 'use of mobile technologies for employee services' at the recently concluded National Conference by the NHRD in Bangalore..

• Won the 'Golden Peacock National Quality Award' for the year 2011

• Airtel digital TV (HD) was recognized as the 'Product of the year 2012', by AC Nielsen, an international research firm.

Sunil Bharti Mittal,
Chairman & Group CEO

- Global Game changer at Economic Times Telecom Awards 2011.
- Global Telecom Leader - Voice & Data magazine

Rajan Bharti Mittal,
Vice Chairman & MD

- CA Business Achiever Award by Institute of Chartered Accountants of India

Akhil Gupta,
Deputy Group CEO & MD

- CA Business Achiever Award in 2009
- CFO India Hall of Fame by CFO India

Manoj Kohli,
CEO (International) & Joint MD

- Telecom Man of the year by Tele.net in Apr'10

thank you

